

DAK GURU STUDY MATERIAL

Smart Self-Preparation for LDCE Inspector of Posts & PS Group 'B'



FINANCIAL HANDBOOK VOLUME — I

Receipts & Payments • Accounts • Cash • Pay & Allowances • Establishment • Contingencies

Updated as on June 2026

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A Self-Learning Portal

Disclaimer & How to Use This Booklet

DISCLAIMER

This booklet has been prepared strictly as a study aid for departmental examination aspirants. It is an *original teaching work* built upon publicly available statutory material — the Financial Handbook Volume-I of the Department of Posts and the allied Central Government financial rules.

While every effort has been made to ensure accuracy and to incorporate recent amendments, orders, and notifications, this document is **not** a substitute for the official publication. In every case of doubt, and for any official or quasi-judicial purpose, readers must rely solely on the **original FHB Volume-I, the Receipts & Payment Rules, GFR 2017, the relevant Acts, and the latest Government orders / gazette notifications.**

Statutory figures, monetary limits, interest rates, GST rates, and tax thresholds change from time to time. Items most prone to change are marked with a **Currency Flag** in this booklet. Always verify the current position from primary sources before acting.

Dak Guru accepts no liability for any loss or consequence arising from reliance on this study material.

How the Learning Aids Work

This booklet uses a small, consistent set of coloured boxes. Learning the colour language once will help you navigate quickly:

Aid	What it signals
At a Glance	A quick orientation to a chapter or topic — what it covers and why it matters.
Exam Point	A point that is frequently asked, easily confused, or carries a number worth memorising.
Definition	The precise meaning of a term as used in the rules.
Memory Hook	A device, mnemonic, or pattern to help a figure or list stick.
What Changed	A recent amendment or modernisation (e.g. CSI, e-payments) that updates the older rule.

Aid	What it signals
Currency Flag	A figure or provision that changes over time and must be re-verified from the latest order before use.
Trap Alert	A common mistake or a subtle distinction that catches candidates out.

EXAM POINT

Body text in **grey-bordered tables** carries the official figures and provisions. The surrounding prose explains them in plain language.

Wherever a rule has been **modernised** (manual cash book → CSI, physical MO → e-MO, cheque → electronic advice), both the classic rule and its present-day form are given, because the exam may test either.

Governing Framework & Currency Position

FHB Volume-I draws its authority from the **Receipts & Payment Rules, 1983**, the **Government Accounting Rules, 1990**, the **Treasury Rules**, the **General Financial Rules (GFR), 2017**, and allied Central Government financial rules. Where this booklet states a money limit, tax rate, or interest rate, the position has been checked against the latest available Government source as of **June 2026**; the most change-prone of these are flagged. Three items in particular have been updated from the source notes and are highlighted in their chapters:

- **Aadhaar service charges** (Chapter VII) revised by UIDAI w.e.f. **1 October 2025**.
- **TDS on contractors u/s 194C** (Chapter II) — aggregate threshold and the new Income-tax Act, 2025 mapping.
- **Interest-bearing advance rates** (Chapter XII) — notified afresh each financial year.

Chapter I — General

AT A GLANCE

FHB Volume-I is the **rule-book for how money is received, held, paid, and accounted for** in the Department of Posts. This first chapter sets the scope of the Handbook and defines the key office-holders it keeps referring to.

Master the **definitions** here first — every later chapter uses these terms (Accounts Officer, Head of Circle, Head of Department, Bank, Treasury). Many objective questions simply test whether you know who is who.

Rule 1 — Scope and Application

The Handbook lays down, primarily, the procedure for the **initial and compiled accounts** of officers of the Department of Posts. Its general rules rest on a stack of higher authorities: the **Receipts and Payment Rules, 1983**, the **Treasury Rules**, the **Government Accounting Rules, 1990 (GAR)**, the **GFR 2017**, and other Central Government financial rules.

MEMORY HOOK

Think of the hierarchy as “**R-T-G-G**” — *Receipts & Payment Rules* → *Treasury Rules* → *Government Accounting Rules* → *GFR*. FHB Vol-I sits on top of these and adapts them to postal working.

Rule 2 — Definitions

These are the load-bearing terms of the whole Handbook:

Term	Means
Accounts Officer	The Head of an Office of Accounts.
The Bank	Any office/branch of the Banking Department of the RBI ; any SBI branch acting as RBI's agent; and any other agency appointed by the RBI.
The Secretary	The Secretary of the Department of Posts.
The Director General	The Director-General of the Department of Posts.
The Department	The Department of Posts.
Head of a Circle	A Chief Postmaster General of a Circle.

Term	Means
Head of a Department	Any authority declared under S.R. 2(10) . The Director General is the Head of the Department of Posts.
Treasury	Includes a sub-Treasury.

EXAM POINT

For the purpose of **Schedule-II** (Financial Powers of the HOC and HOD), the **Sr. DDG (PA&F)** and **GMs (PA&F)** are also treated as included — a small but examinable rider.

Head of a Circle = CPMG. Head of the Department = DG (Posts). Do not mix these two up; questions deliberately swap them.

Rule 3 — Declaration of Head of Office

Where an office has **more than one Gazetted Officer**, Heads of Departments may declare any one of them to be the **Head of Office** for the purposes of this Handbook.

Chapter II — General Principles and Rules**AT A GLANCE**

This is the **backbone chapter** — it governs the receipt of money, the payment of money, the preparation and checking of bills, the handling of losses, and the standards of financial propriety.

Expect the **largest share of questions** from here: time-bars on claims, endorsement rules, rounding-off, stamp duty, and the monetary limits for reporting and investigating losses.

Receipt of Money (Rules 4–9)

Rule 4 — Deposit of Public Money: Any officer receiving money as Government dues, or for deposit in Government custody, must pay it **in full and without undue delay** into a Treasury or the Bank, to the correct account. In post offices, Postmasters remit **surplus collections** to the Bank or Treasury.

Rule 5 — Constitutional Provision: Under **Article 284** of the Constitution, all moneys received by or deposited with any officer — other than revenues or public money raised/received by Government — are paid into the **Public Account**.

Rule 6 — The Public Account: This is the account for moneys that have passed into Government custody. Every Government servant must, without undue delay, pay all moneys received into the Public Account.

Rule 8 — Granting of Receipts: When money is received for Government, the Head of Office gives the payer a **receipt / e-receipt** after satisfying himself the amount is correctly entered in the **Cash Book / e-cash book** (under the proper GL code), and issues a digital **ACG-67** (system-driven).

Rule 9 — Responsibility for Collection: It is ordinarily the duty of the **Departmental Officers** — not the Accounts Officer — to ensure that the Department's dues are regularly collected and brought to account.

EXAM POINT

ACG-67 is the system-generated money receipt for departmental receipts. Remember the trio: receipt money → enter in cash book under correct **GL code** → issue **ACG-67**.

Payment of Money (Rules 12–20)

Rule 12 — Withdrawal of Funds: A Disbursing Officer may permit withdrawal for dues from Government, claims of private parties, loans and advances, and similar purposes.

Rule 14 — Place of Payment: Unless otherwise provided, a payment is made only at the office under whose jurisdiction the claim arises.

Rule 15 — Sanction Requirement: As a general rule, **no expenditure** may be incurred from public funds until sanctioned by general or special orders of the **President**, or by an authority to whom the power has been duly delegated.

Rule 17 — Corrections in Bills: A Disbursing Officer need not return a bill for **obvious arithmetical mistakes** — he may correct and pay the corrected amount. For **doubtful items** that are easily separated, he disallows the doubtful item and pays the remainder.

Rule 18 — Endorsements (the “three-endorsement” rule)

Cheques, bills, etc. presented at a Treasury are **non-negotiable** and may be endorsed only **once** in favour of the specific payee. But the chain can extend:

1. **First endorsement** — by the Government, in favour of the payee (or a Banker).
2. **Second endorsement** — where made in favour of a Banker, the Banker may endorse to a messenger/agent **for collection only**.

- 3. Third endorsement** — for a contingent bill endorsed to a firm/supplier: the firm may re-endorse to its Banker or a messenger for collection, and the Banker may further endorse to a messenger/agent for collection only.

MEMORY HOOK

So, in all, **three endorsements** are permissible — and every onward endorsement after the payee is “**for collection only.**”

Rule 19 — Specimen Signatures: The Accounts Officer supplies disbursing offices with **specimen signatures** of officers authorised to sign payment orders or issue letters of authority.

Rule 19-A — Authorisation to Draw Funds: Every officer authorised to draw funds from a post office sends a **specimen signature** to the Postmaster, routed through a superior officer whose specimen is already on record.

Rule 19-B — Final Payment of GPF Money: GPF final-payment authorities issued by the Circle Postal Accounts Office carry a special **metallic embossing seal**. Disbursing Officers must verify the **special seal and specimen signature** before making any GPF final payment.

Claims by Government Servants (Rules 21–28)

Rule 21 — First Pay Claim: No pay/allowance drawn for the first time from a disbursing office (except for a person newly appointed to Government service) is paid unless supported by a **Last Pay Certificate (LPC)** in the prescribed form.

Rule 22 — Transfer & Leave Return: No payment to a Government servant transferred from another Department, or returning from leave out of India, without the orders of the Accounts Office.

Rule 23 — Gazetted Officers' Pay: Pay, leave salary, allowances, rewards, honoraria, or pension of a **Gazetted** servant are not paid until the Accounts Officer has intimated the **rate** of payment to the Disbursing Officer.

Rules 24–27 — Time-bars on claims (high-yield)

These limitation periods are a favourite of paper-setters. Read the table as your master reference, then the notes:

Claim	Time-bar / rule
General arrear claim (Rule 24)	Not preferred within 2 years of becoming due → needs authority from the Circle Accounts Officer.

Claim	Time-bar / rule
Small claim exception (Rule 24)	Claim $\leq$ Rs. 500 if presented within 3 years of becoming due $\rightarrow$ payable without pre-check .
Old bills (Rule 24)	Bills $>$ 2 years old $\rightarrow$ subjected to pre-check even if the net payable after adjustment is nil.
Travelling Allowance (Rule 25)	Right to TA (incl. DA) is forfeited if not preferred within 60 days of becoming due.
Railway claims (Rule 26)	Over/under-charge claims between Department and Railways — admitted only if preferred within 6 months of payment / bill presentation.

Rule 27 — Investigation of Time-Barred Claims: Claims for arrears of pay, increments, or dues not preferred within **2 years** are not investigated by the Circle Accounts Office unless:

- (a) Claims **more than 2 but not more than 6 years** old — specific approval of the **Head of Department** for investigation.
- (b) Claims **more than 6 years** old (records available) — again, specific approval of the **Head of Department**.

EXAM POINT

Notes on claims worth memorising: the **DG (Posts)** has re-delegated to Heads of Circles / HoDs the power to sanction investigation of arrear claims $>$ **6 years** old (records available).

LTC claim due dates: advance drawn $\rightarrow$ within **1 month** of due date; advance not drawn $\rightarrow$ within **3 months**.

Deceased officials: if not preferred within **2 years** from the day after death, bills are pre-audited under Rule 25.

Increments are not “sanctions” — they become payable on the day succeeding the period they relate to. **Leave salary's** 2-year clock runs from when it falls due in the normal course.

Rule 28 — Destruction of Records: Old claims whose connected records have been destroyed and cannot be verified by the Circle Accounts Office may be paid only if **sanctioned by the Government**.

Payments to Persons Not in Government Service (Rules 30–34)

Rule 30 — Claims by Non-Government Persons: For work done / services / articles supplied by a person not in Government service, the Disbursing Officer requires (a) submission of the claim by the Head of Circle (or responsible officer under whose order the service was done), and (b) deduction of **income-tax at source** on payments to contractors/sub-contractors under **Section 194-C** of the Income-tax Act.

CURRENCY FLAG

TDS under Section 194-C — updated position (verify before use):

Rate: 1% where the payee is an **Individual / HUF**; 2% where the payee is **any other person** (company, firm, etc.). The flat “@ 2%” in older notes is only the *non-individual* rate.

Threshold: TDS applies if a **single payment exceeds Rs. 30,000**, OR the **aggregate** in a financial year exceeds **Rs. 1,00,000** (the aggregate limit was raised from Rs. 75,000 by the **Finance Act, 2024**, w.e.f. FY 2025-26).

Law change: Section 194-C of the Income-tax Act, 1961 has been re-enacted as **Section 393(1)** of the new **Income-tax Act, 2025**, operative from **1 April 2026**. The substance (rates/thresholds) is retained, but the section number changes.

Source: Income-tax Act 1961 s.194C; Finance Act 2024; Income-tax Act 2025. Confirm the rate, threshold, and section against the position for the relevant year before deducting.

Rule 32 — Payment of Rent of Buildings: Rent of a departmental building is paid against a receipt signed by the owner, or by **crediting the owner's Bank / POSB account** per the agreement.

Rule 33 — Purpose of Remittance (e-MO): When a departmental payment goes by postal service or **e-MO**, the remitting officer briefly states the purpose on the message portion.

Rule 34 — Cost of Remittance: Where Government money is paid by Money Order, the **cost of remittance is borne by the payee** (absent any special rule). **Pension up to Rs. 9,000/- p.m.** plus DR may, at the pensioner's request, be remitted by **Postal Service Money Order**.

Preparation of Bills and Their Check (Rules 35–47)

Rule 35 — General Instructions for the Drawing Officer:

- Use **printed forms**; debit-head bills are printed in **red ink on white paper**.

- All bills **filled in and signed in ink**; whole-rupee amounts written in **words and figures**.
- Every correction/alteration in a total is **attested with the full dated signature** of the signer.
- **Erasures and overwriting are absolutely forbidden** — cancel the wrong entry neatly in **red ink** and insert the correct one, authenticated by the Drawing Officer's full dated signature.
- Record the **correct head of classification**; charges against two or more major heads are **not** combined in one bill.
- Bills needing **countersignature** are presented only after it.

EXAM POINT

Drafting quirk: “Under rupees thirty only” means $\geq \text{Rs. 20}$ but $< \text{Rs. 30}$; “under rupees eight hundred only” means $\geq \text{Rs. 700}$ but $< \text{Rs. 800}$.

A bill becomes a voucher after payment. (Rule 35(b)) — a classic one-liner.

After HR digitisation, the *mechanics* of preparing the pay bill differ on the technology platform, but the principles stand.

Rule 37 — Checks by Disbursing Officer: (a) bill prepared per Rule 35; (b) claim admissible, authority good, signatures/countersignatures genuine, receipt a legal quittance; (c) **arithmetic accurate**.

Rule 38 — Pay Order: After all checks, the Disbursing Officer (a) makes any correction under dated initials, and (b) **endorses a pay order** on the bill authorising the treasurer to pay.

Rule 40 — Prompt Payment: Bills passed for payment are **paid the same day**. The **pay order is valid 7 days** from endorsement (except pay-and-allowance bills, governed by different rules).

Rule 42 — Responsibility: The Disbursing Officer answers to the Accounts Officer for the **validity of the claim** and for **evidence that the payee actually received** the sum.

Rule 45 — Vouchers & Sub-Postmaster Powers

Every voucher must carry a **pay order**, indicate the mode of payment, be signed by the Disbursing Officer, and state the amount in **words and figures**; pay orders are signed **by hand, in ink**. A **Sub-Postmaster** may pay the following **without a prior pay order** of the Head Postmaster:

- Payments under specific sanction of the competent authority effected by the SPM; extra expenditure on heavy parcel delivery; charges for extra dispatch of mails; conveyance of cash; escorting cash remittances; electric/sanitary/water bills; funeral expenses; express-delivery charges; messenger-service bills.

Rule 46 — Cancellation of Sub-Vouchers: All sub-vouchers are cancelled so they cannot be re-used for fraudulent claims.

Rule 47 — Rounding Off

Fraction of 50 paise and above → round up to the next rupee; **less than 50 paise → ignore**. Applies to personal claims of Government servants and pensioners; HRA, DA, TA, and deductions (PLI premium, licence fee, taxes, loan instalments) to whole rupees. For **TA bills, round only at the last stage** (not each item). Pension / relief / gratuities / commuted value / law-fixed emoluments → round up to the next rupee.

TRAP ALERT

For a **TA bill**, never round item-by-item — only the **final figure** is rounded. This is a frequent trap.

Stamps for Receipts (Rules 48–49)

Rule 48 — Stamp Duty: Receipts for sums **exceeding Rs. 5,000** must be stamped under **Section 3 read with Item 53 of Schedule I of the Indian Stamp Act, 1899**, unless exempt. Stamp duty is charged on the **net amount**, not the gross.

Rule 49 — Defacing Stamps: The paying officer ensures receipt stamps on paid vouchers are **punched/defaced** so they cannot be reused.

EXAM POINT

The **Rs. 5,000** stamp-duty threshold (one-rupee revenue stamp, Schedule I Item 53) has been in force **w.e.f. 10.09.2004** and remains current. *Source: Indian Stamp Act, 1899.*

Duplicates or Copies of Documents (Rule 50)

No officer may issue duplicates/copies of receipts for money already received or paid, merely because the original is said to be lost. For a **bill/voucher lost before payment**, the drawing officer must first confirm from the disbursing office that **payment has not been made** before issuing a duplicate. The duplicate bears the word **“duplicate” in red ink**. When a bill is prepared in duplicate/triplicate, **only one copy is signed in full**; others are initialled. If previous audit is required, **only the original** goes to that authority.

Losses of Government Property (Rules 51–58)

Rule 51: Losses of Government property are reported to the Accounts Office **annually on 15th May** in the prescribed form.

Rule 52 — Defalcation & Losses: Any defalcation or loss of public money, revenue, stamps, stores, or property — *whatever the cause, even under-assessment* — is reported **immediately** to the immediate superior and to the **Heads of Postal Accounts Office**, even if already made good. Reports go out **as soon as a suspicion arises**; after full investigation, a **complete report** follows on the nature/extent of loss, the rule-failures that allowed it, and the recovery prospects. A copy of the **write-off sanction** goes to the Accounts Officer in all cases except petty loss.

Exception: Petty cases — losses not exceeding Rs. 10,000 each — need not be reported to the Audit/Accounting Authority.

Rule 54 — Loss in Suspense Heads: Losses of building, land, stores, equipment need not be a separate head — they are recorded under the **suspense head** and written off from it.

Rule 55 — Loss of Cash or Stamps: Cash/stamps lost from the balance, remittances in transit, or permanent advance are **charged in the accounts immediately** on discovery, first to **Postal Advances, RMS, etc., Major Head 8553**. **Counterfeit coins/notes** are treated as a **loss of cash**.

Government Decisions on Losses (examinable detail)

Material loss / destruction (fire, theft, etc.): report cases of suspected theft/fraud/fire to the **Police**; HoDs decide at what stage. Losses $\geq$ **Rs. 50,000** (except suspected sabotage) are '**material**'. **All suspected sabotage** goes to the Police promptly, **regardless of amount**, with a formal investigation report obtained.

Monetary limits for investigation in loss/fraud cases (effective 23.09.2021, per DoP Directorate letter No. 8-1/2019-Inv):

Investigating Officer	Monetary limit (Principal Amount)
Inspector Posts / ASP	Up to Rs. 2 Lakhs
Divisional Heads / Sr. PM / Chief PM / Dy. Director (Mumbai/Kolkata GPO)	> Rs. 2 Lakhs up to Rs. 5 Lakhs
Asst. Director / APMG of Circle / Regional Office	> Rs. 5 Lakhs up to Rs. 10 Lakhs
Director / PMG / CPMG (incl. Directors in GPOs)	> Rs. 10 Lakhs

Investigating Officer	Monetary limit (Principal Amount)
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EXAM POINT

Limits are on the **Principal Amount of Loss/Fraud including Temporary Misappropriation** — **normal and penal interest are excluded** when deciding the investigating authority.

Reporting: cases > Rs. 5 Lakhs are reported to **ADG (Investigation)** at the first instance (immediately on detection).

Source: DoP Directorate letter dated 23.09.2021 — verified current.

Rule 57 — Serious Loss of Immovable Property: Serious loss of buildings/works by fire, flood, cyclone, earthquake, etc. is reported **at once** by the departmental officer to the HoD, and by the HoD to the Government. “Serious loss” means **losses exceeding Rs. 50,000**. Losses $\leq$ Rs. 50,000 are reported to the HoD (and Police if needed) but **not** to Government or Audit.

Rule 58 — Responsibility for Losses: Every officer is **personally responsible** for loss caused by his fraud or negligence.

Financial Propriety & Control (Rules 60–69)

Rule 60 — Standards of Financial Propriety: Governed by **Rule 21 of GFR 2017**.

Rule 61 — Control of Expenditure: Each Head of a Department enforces **financial order and strict economy** at every step and ensures observance of financial rules by his office and subordinate Disbursing Officers.

Rule 63 — Forbidden Practices: Erasures and over-writings in any account, register, schedule, or Cash Book are **absolutely forbidden** — cancel in red ink, insert correctly, authenticate with dated initials.

Rule 67 — Adjustment between Governments: Full particulars of receipts/disbursements on behalf of other Departments are **forthwith intimated** to the Audit/Accounts Office for adjustment.

Rule 69 — Preservation of Records: Destruction rules are in **Appendix 3** of FHB Vol-I. A **register of destruction in Form ACG-91** is maintained and **preserved permanently**. Records with **pending audit objections are not destroyed** until final settlement.

MEMORY HOOK

The “no-erasure” rule appears in three places — Rule 35 (bills), Rule 63 (accounts/registers), and Rule 115 (Cash Book). The fix is always the same: **strike out in red ink, re-write, attest.**

Chapter III — General Outlines of the Systems of Accounts

AT A GLANCE

This chapter explains **how transactions are classified** under Major Heads, and confirms the Department's special status as a **commercial department**.

The **Major Head numbers** are pure memory work — but a handful (1201, 3201, 5201, 8553, 8014) recur constantly, so anchor those first.

Rule 70 — Classification of Heads

Departmental receipts and expenditure are recorded under **Major Heads**, sub-divided to show the nature of each transaction. The key heads:

I. Revenue Receipts

Major Head	Description
0049	Interest Receipts (Non-Tax)
1201	Postal Receipts (Non-Tax) — the principal revenue head
0051	Public Service Commission
0070	Other Administrative Services
0075	Miscellaneous General Services
0021	Taxes on income other than corporation tax (Tax Revenue)
0037	Customs (Tax Revenue)

II. Expenditure met from Revenue

Major Head	Description
2016 / 2049 / 2071	General Services — Audit / Interest Payment / Pension & Retirement Benefits
2235	Social Services — Social Security & Welfare
3201	Economic Services — Postal Services (principal expenditure head)

Major Head	Description
2552 / 3465	North Eastern Areas / General Financial & Trading Institutions
4552 / 5201 / 5465	Capital — NE Areas / Capital Outlay on Postal Service / Investments in GFTI
7610	Loans to Government Servants etc.

Insurance, Deposits, Suspense

Major Head	Description
8014 / 8015 / 8016	PLI Schemes / Investments of POIF / Income & Expenditure of POIF
8446	Postal Deposits
8455	Settlement Account with India Post Payments Bank (IPPB)
8553	Postal Advances
8661 / 8670 / 8677 / 8680	Suspense (Postal) / Cheques & Bills / Remittances into Bank-Treasury / Misc. Govt. Accounts

MEMORY HOOK

The “**postal spine**”: 1201 in (receipts) → 3201 out (expenditure) → 5201 capital → 8553 advances → 8661 suspense. Five numbers carry most of the questions.

Rule 71 — Commercial Department Status: The Department of Posts is a **commercial department**. Its plant and equipment are recorded under **Major Head 5201** (Capital Outlay, outside the Revenue Account), and the Department **pays interest** on the capital at charge of this head.

Rule 72 — Recording of Revenue & Expenditure: Receipts → **MH 1201 (Postal Receipts)**; Expenditure → **MH 3201 (Postal Services)**.

Rule 76 — HPO Cash Account: Each **Head Post Office** submits a **monthly cash account** to the Circle Accounts Office, covering its own and its subordinate Sub/Branch offices' transactions, classified in full detail.

Rule 77 — Head Record Office Cash Account: Each **HRO** submits a monthly cash account; **amounts drawn for disbursement** appear on the receipt side, **amounts disbursed** on the expenditure side. The **Audit Office** classifies these in detail.

Rule 79 — Main Sources of Revenue: Sale of stamps and postage; commission on Money Orders and Indian Postal Orders; sale of assets; and recoveries from other GoI Departments for services rendered.

Chapter IV — Relation with Audit

AT A GLANCE

This chapter governs how the Department deals with **audit objections, audit memos, and inspection reports**.

The **three-part structure of the Audit Inspection Report** (Rule 95) and the various **return deadlines** (fortnight, one month) are the examinable cores.

Rule 80 — Accounts Structure

Accounts work of the Department is distributed among **Circle Postal Accounts Offices**, each headed by a **GM (PA&F) / Director of Accounts / Dy. Director of Accounts (Postal)**. **External audit** is conducted by **P&T Audit** as a Statutory Audit Authority under the **Comptroller & Auditor General of India (CAG)**.

Rules 81–93 — Handling Objections

Rule	Provision
81	Every Government servant attends promptly to all objections/orders from the Audit/Accounts Officer.
82	Return the objection statement / audit memo within a fortnight , or send a letter explaining the delay.
83	If the person under recovery is transferred, the recovery order passes to the new Disbursing Officer.
84	Recovery rate ordinarily $\leq$ one-third of pay ; the rate is fixed by the Accounts Office.
85	A Retrenchment Register (ACG-60) records retrenchments, unadjusted advances, losses. Head of Office checks $\geq$ 10% of entries monthly and initials them.
86	A sum disallowed from a pay/TA bill may be recovered from the next bill ; if no TA bill within a month , recover via cash/pay.
87	The Accounts/Audit Office deals with Disbursing Officers directly on objections.
88	Gazetted-officer objections → separate printed memoranda; cash account / establishment / TA / contingent objections → shown in the objection statement .

Rule	Provision
89	Objection statements prepared in duplicate (pencil draft + carbonised copy); draft retained, carbonised copy returned with replies in ink .
90	Dilatory officers reported to the Head of Circle ; habitual delay → special report to the DG .
91	An objection, once entered, stays in force until removed by requisite sanction or by the CPAO/Audit Office withdrawing it.
93	Disbursing Officers give full and clear replies to each item.

Rule 95 — Audit Inspection Reports (three parts)

Part	Content
Part-I	(a) Introductory; (b) outstanding objections from previous reports in brief; (c) schedule of persistent irregularities.
Part-II	Section-A — important irregularities (recoveries, questions of principle, losses) likely to become draft paras for the Audit Report. Section-B — irregularities not major but to be brought to higher authorities and followed up.
Part-III	(a) Test-audit note of minor irregularities with a schedule of items settled on the spot; (b) procedural irregularities where the Head of Office has given assurances of correct future procedure.

EXAM POINT

Return deadline: Part I and II (all offices) and Part III (Mail Motor Services) are sent in **duplicate**; **one copy returned within a month** of issue.

Map it: **Part-I = old/persistent, Part-II = important (A) + minor-but-notable (B), Part-III = minor / settled-on-spot.**

Rule 96 — Correspondence Protocol: Sub/Branch Postmasters do **not** address the Circle Accounts Officer directly — they route through the **Divisional Head or HPO**. The Accounts/Audit Office may, however, correspond **directly with Sub-Offices** where it speeds settlement.

Rule 97 — Hypothetical Cases: The Accounts/Audit Office gives **no opinion on hypothetical cases**. Representations and appeals lie to the **executive authorities**, not to the Director of Audit (P&T).

Rule 98 — Requisitions for Audited Documents: Audited bills/vouchers are **not ordinarily supplied** to departmental officers; where essential, a requisition is routed

through the Head of Circle. **Exception:** paid Money Orders, paid IPOs, discharged PO certificates may be called for directly by Superintendents and Senior Postmasters; **IPs, all HPMs, and selection-grade SPMs** may also call for paid Money Orders directly for enquiry.

Chapter V — Cash

AT A GLANCE

Everything about **what counts as cash, how it is kept, and how the Cash Book is maintained, verified, and balanced.**

Very high-yield: the **definition of cash** (and exclusions), **dual-lock custody**, and the **Cash Book** rules (Rules 110–123).

Rule 99 — Personal Responsibility: Every Government servant is **personally responsible** for all Government money passing through his hands and for prompt recording. **Private cash must never be mixed** with public cash.

Rule 100 — Definition of Cash

DEFINITION

“Cash” includes: legal-tender coins, currency or Bank notes, Treasury Certificate, **cheques payable on demand**, and **Demand Drafts**.

Excludes: Government Securities, Bank deposit receipts, debentures, and bonds accepted as **security deposit**.

Not cash but stock/inventory: postage stamps, stationery, reply coupons, and other stamps.

TRAP ALERT

Stamps are NOT cash — they are inventory. And **security-deposit bonds/securities are NOT cash** either. These two exclusions are heavily tested.

Rule 101 — Legal Tender: Departmental receipts are ordinarily realised only in **legal-tender coin / currency / Bank notes**, which of all denominations are legal tender.

Rule 102 — Custody of Cash (dual-lock)

Public money not with a Treasury/Bank is kept in **strong treasure chests** secured by **two locks of different patterns**:

- **Dual custody** — the key of one lock with one person, the other key with another.
- **Police guard** — where provided, the officer in charge of the guard holds one key.

- **Opening protocol** — the chest is **never opened unless both key-custodians are present**; the police-guard officer is present from opening until it is re-locked.

Rules 106–109 — Cheques

Term	Meaning
Local cheque	Drawn on a Bank at the same station as the accepting office (may clear through another HPO at that station).
Local cheque (Sub-Office)	Drawn on a Bank at the same station as the HPO and accepted at any of its sub-offices.
Outstation cheque	All other cheques.

Rule 107 — Acceptance of Cheques: Cheques may be accepted from the public for any departmental transaction, provided the amount is **not less than Rs. 20/-**. **Rule 109:** cheques are brought directly to account in the Cash Book; a **“Register of cheques received and cleared” (Form ACG-28)** is maintained.

Rules 110–123 — The Cash Book (core)

Rule 110 — Maintenance: Every officer authorised to receive/pay Government money keeps a **Cash Book**. Before use, the **HPO Postmaster (or nominee) counts the pages** and records a certificate on the first page. **Sub and Branch Postmasters are exempted** from keeping a Cash Book. The Disbursing Officer is responsible for the safe custody of used-up Cash Books (a register records their period of use).

Rule 112: The Cash Book is **“one of the most important account records”** an officer keeps.

Rule 113: **No receipt or payment other than cash** may be entered in the Cash Book. **Rule 114:** All transactions are entered **immediately on occurrence and in order of occurrence**; the **Contingent Register (TR-29)** is kept in two parts — expenditure from the permanent advance, and expenditure met otherwise.

Rule 115 — Correction of Errors (no erasures)

- **Pre-closure** (before the month's accounts close): strike out the wrong entry, insert the correct one in **red ink between the lines**, attested with the Disbursing Officer's dated initials.
- **Post-closure** (after submission): correct **only with the sanction** of the authority to whom accounts are submitted.
- An **Error Register** records the error (document number, transaction date, original GL code, correct GL code).

Rule 116 — Verification: The Disbursing Officer checks all Cash Book entries as soon as possible, initials after the last entry checked, and **signs at month-end**. The **Head Office & Treasurer's Cash Books in an HPO are signed by the Postmaster every day**; the **HRO Cash Book** is signed by the Head Record Clerk at the close of each account period.

Rule 117 — Verification Points: each **payment** entry compared with its voucher (bearing a pay order) and ticked; **deductions** compared with voucher amounts; **receipts** verified against the counterfoil/office copy; **treasury drawings** compared with cheque-book counterfoils / duplicate vouchers.

Rule 119 — Closing & Balancing: The Cash Book is closed and balanced on the prescribed date; with numerous transactions, **weekly or daily** balancing is recommended. The **HPO Head Office & Treasurer's Cash Books are closed and balanced every day**. The Cash Book **need not be closed** on days with no transactions and the chest unopened.

Rule 120 — Cash Verification: The actual cash balance is **counted and verified personally** by the officer-in-charge on the **last working day** of each period (or the first working day of the next, before any disbursement); a **certificate of the count (words and figures)** is recorded below the closing entries.

Rule 121 — “Out of Account” Recoveries: On the last working day, “Out of Account” recoveries (e.g. Pay-Roll Savings Scheme, society recoveries) may be paid electronically or by cheque; court payments by **e-MO** (less commission). All payments go through the **CSI platform** in the concerned GL code.

Rule 122 — Excess or Deficiency: If the count is wrong and cannot be rectified at once: **Excess** → “To Rs. ... Cash found excess in chest”; **Deficiency** → “By Rs. ... Cash found deficient in chest.”

Rule 123 — Inspection Reports: Inspecting Officers (AD, SPOs, IP) submit a report in **Form ACG-84** to the Accounts Office after verifying HPO cash balances on the last day of each month.

MEMORY HOOK

HPO daily, everyone else periodically. The Head Office and Treasurer's Cash Books in an HPO are **signed, closed, and balanced every day** — the daily-discipline rule for big offices.

Chapter VI — Supply of Funds & Remittance Transactions

AT A GLANCE

How a post office **obtains funds, remits surplus, and uses cheques and imprests** — now largely on the CSI platform.

Anchor the **money limits and validities**: cash-balance authority, drawing-account validity (3 months), imprest (Rs. 250), e-payment threshold, cheque minimums and validity.

Rule 124 — Authorised Cash Balances: The min/max cash balance of each post office is fixed by the competent authority:

Type of Post Office	Competent Authority
First-class HPO	Head of Circle (or SSPOs under his control)
HO / MDG / SO / BO	Divisional Head under his control

Rule 125 — Remittance of Surplus: HPOs remit surplus to the **Bank/Treasury**; if none exists, cash is sent to **another post office**.

Rule 126 — Drawing Account Validity: The CPAO's authority to open a drawing account is **current for 3 months** from issue.

Rule 127 — Treasury Pass Book: Each Head Office keeps a separate **Treasury Pass Book in ACG-8** (sub-offices dealing directly with a Treasury/Bank likewise). It is kept in the **Head Postmaster's personal custody** (delegable to a Gazetted Dy./Asst. Postmaster in GPO/HPO/MDGs). Bank **scrolls** go to the GM (F)/Director of Accounts from the Bank.

Rules 128–132 — Remittance, Drawings & Electronic Modes

- **Drawings (128–129):** Head Postmasters draw funds by **treasury vouchers or cheques**. Postmaster presents the Pass Book with a receipt; Sub-Postmaster with **duplicate receipts**.
- **Discontinued forms:** physical use of **ACG-11, 11(a), 12, 13, 14** is discontinued (except TNF sites / state treasuries). Challans/vouchers are now generated through the **CSI system** consecutively.
- **Rule 130 — Cheques:** minimum **Rs. 100/-**; all crossed and **“Not Negotiable”**; CBPO Delhi and Kolkata are authorised to draw cheques on **RBI, Nagpur**.
- **Rule 131 — Electronic Receipts:** customer payments may be remitted to the Postmaster's Remittances Account; per-contra entry against the service availed.

- **Rule 132 — Electronic Payments:** all payments to suppliers/contractors/grantee institutions **above Rs. 5,000** are made through electronic advices via **GePG/PFMS**.

WHAT CHANGED

Manual → digital. The old physical remittance forms (ACG-11 series) are replaced by **CSI-generated** challans/vouchers; high-value payments move through **GePG/PFMS** rather than cheques.

The mandatory e-payment threshold was lowered from **Rs. 10,000 to Rs. 5,000** vide **Ministry of Finance O.M. dated 05.12.2016**.

Rules 136–137 — Surplus & Remittance Advice: A Sub-Office remits surplus to the **HPO at the station authorised by the Superintendent** (or HOC for First-class HPOs). A **remittance advice and acknowledgement (ACG-15)** is prepared: the advice is filed by the receiving office; the acknowledgement is stamped, signed, and returned. Cash is bagged in the Postmaster's presence, **sealed, weighed**, and handed to the Registration Clerk.

Rules 139–142 — Imprest: A **cash imprest** is sanctioned by the Head of Circle for offices not authorised to use cash receipts for contingencies. The **maximum on an imprest certificate (Form ACG-75) at one time is Rs. 250/-**.

Rules 148–156 — Cheque Books & Cheques

Rule	Provision
148	Cheque books supplied by the Circle Accounts Officer on printed requisition; generally one book per requisition (offices issuing > 30 cheques daily may get more); one book in use at a time .
149	Register of cheque books in Form CPWA-52 .
153	Govt-due cheques crossed “for credit to Government account, not payable in cash” ; “not transferable” on top; Gazetted-officer cheques crossed “Account payee only – not negotiable” ; lowest cheque Rs. 100 ; payments of Rs. 1 Crore+ to PSU/aided institutions authorised by PAO New Delhi through RBI .
155	Every cheque favouring a Gazetted Officer is made payable to order only.
156	Cheques are payable within three months after the month of issue (a January cheque is good up to 30th April).

MEMORY HOOK

Rule	Provision
	Two cheque numbers: floor Rs. 100 (minimum cheque) and validity = month-of-issue + 3 months . The Rs. 1 Crore high-value route runs through PAO New Delhi → RBI .

Chapter VII — Revenue & Miscellaneous Receipts

AT A GLANCE

Short but current-affairs-rich: **franking machines, advertisement receipts, sale of publications, and Retail Post** (bill collection, Aadhaar, Gangajal).

The **Aadhaar service charges here have been updated** — see the Currency Flag.

Rule	Provision
163 — Franking Machine	Refers to RMFS (Remotely Managed Franking Machine).
164 — Advertisement Receipts	Receipts for advertisements in departmental publications granted in e-Form ACG-67 .
166 — Sale of Publications	Amounts from sale of books/blank forms credited under “Sale of Publications, blank forms, etc.”

Rule 168 — Retail Post

Retail Post leverages the network of **1,50,000+ post offices** (about **1.65 lakh** in all) for services such as **bill collection** (electricity, taxes, fees). **Billers** are created at Divisional, Regional, Circle, and National levels. Other services include **Aadhaar** updates and **Gangajal** (delivery of holy offerings).

CURRENCY FLAG

Aadhaar service charges — REVISED by UIDAI w.e.f. 1 October 2025

Enrolment: remains **free**. Mandatory biometric update for children (5–7) and teens (15–17): **free**.

Demographic / document update: now **Rs. 75** (raised from Rs. 50).

Biometric update (adults): now **Rs. 125** (raised from Rs. 100).

The exact amount a post office collects, and the **GST component** within it, is set by the latest **UIDAI Office Memorandum / SB Order**; the figures above are the UIDAI standard charges for **Oct 2025 – Sep 2028**.

EXAM POINT

For the exam: **enrolment is free; demographic update Rs. 75; adult biometric update Rs. 125** (UIDAI, w.e.f. 01.10.2025). The older “Rs. 50 / Rs. 100 incl. 18% GST” figures are superseded.

Chapter VIII — Pay & Allowances: General Rules

AT A GLANCE

The rules for **drawing and disbursing pay** — due dates, attachment of pay for court decrees, first/last payments, deceased-employee dues, and place of payment.

Two reliably-asked areas: the **attachment-of-pay formulas** (Rules 174–175) and the **anticipatory payment limit on a deceased employee's dues** (Rule 189).

Rule 169 — Due Date

- **Preparation:** salary bills prepared on computerised platforms in the **last week** of the month.
- **Disbursement:** pay and fixed allowances disbursed on the **last working day** of the month.
- **March salary:** paid on the **1st working day of April**.
- **Signing bills:** may be signed/drawn **not earlier than 5 days** before the last working day.

WHAT CHANGED

CSI HR Payroll (indicative): CO/RO/DO/PAO maintain payroll information; **Employee ID** is created at the Appointing-Authority level; **RDA** delegates roles (Post-to-Post mapping is critical).

Payroll runs: **Cyclic** (monthly salary) and **Off-Cycle** (Tour TA, LTC, medical reimbursement). Stages: **Simulation run** → **Live run** → **Simulation posting** → **Live posting**.

Rules 174–177 — Attachment of Pay for Court Decrees

Rule 174 — Maintenance Decree: **One-third (1/3)** of salary is **exempt** from attachment. Fully exempt allowances: subsistence allowance, HRA, TPA, CEA, uniform allowance, DA, TA, etc.

DEFINITION

Maintenance-decree attachable amount = $X - Y - (1/3 \text{ of Basic Pay})$

where **X** = gross emoluments and **Y** = exempt allowances.

Rule 175 — Other Decrees: For decrees **other than maintenance**, the maximum attachable by a Civil Court is:

DEFINITION

Other-decree attachable amount = $(X - Y - 1000) \div 3$

i.e. after removing exempt allowances, the **first Rs. 1,000 is exempt** and only **one-third of the remainder** is attachable.

Rule 176 — Compliance: If a new attachment order would exceed the prescribed limits, the Disbursing Officer **returns it to the Court**. **Rule 177 — Deductions:** subscriptions and Government dues are deducted from the **non-attachable** portion of salary.

EXAM POINT

The **Rs. 1,000 “first-slab” exemption** for non-maintenance decrees flows from **Section 60(1)(i) of the Code of Civil Procedure, 1908** and is **current**. For **maintenance** decrees, the Rs. 1,000 slab does **not** apply — only the flat **1/3 exemption** operates.

Trap: the formulas differ. Maintenance = subtract **1/3 of Basic Pay**; other decrees = subtract **Rs. 1,000 then take 1/3 of the remainder**.

Rules 180–185 — First Payment, Transfers & Arrears

Rule 180 — First Payment: the first pay bill must be supported by an **LPC**; pay authorised for up to **two months without a medical certificate** must be certified in the bill. **Rule 181:** the Government servant is responsible for **obtaining his own LPC** from the last disbursing officer. **Rule 182 — Payment Caution:** a Disbursing Officer must **not pay** a servant to whom he has granted an LPC. Provisional substantive pay may be allowed to a **non-Gazetted** servant pending LPC; **Gazetted** officers may draw pay **provisionally up to 3 months** after expiry of a temporary-post sanction pending renewal.

Rule 185 — Arrear Bills: arrears of pay/fixed allowances/leave salary are drawn in a **separate bill**, not the monthly bill. The **Accountant/LSG Clerk-in-Charge checks 100%**; the **drawer checks at least 10%**. Where bill clerk and accountant are the same (small POs), another supervisory official attests **100%** and the drawing officer attests **at least 10%**.

MEMORY HOOK

The “100/10” rule for arrear bills: the checking authority verifies **100%**, the drawer **10%**.

Rules 187–195 — Quitting Service, Death & Honoraria

Rule 187 — Quitting Service: the last payment on retirement/resignation/dismissal/death/suspension is **not made** until the Disbursing Officer confirms (via the Accounts Office, departmental authorities, and his own records) that **no demands are outstanding**.

Rule 188 — Death of Payee: pay and allowances can be drawn **for the day of death**; the **hour of death is irrelevant**. “Day” = a calendar day, midnight to midnight.

Rule 189 — Payment to Heirs (high-yield)

Pay, leave salary, and allowances of a deceased Government servant may be paid **without the usual legal authority** under the orders of the Head of Office, subject to:

- (a) the Head of Office being otherwise **satisfied about the claimant's right**;
- (b) the Head of Office may sanction **anticipatory payment not exceeding Rs. 5,00,000**;
- (c) where the **gross claim exceeds Rs. 5,00,000**, payment is made only on an **Indemnity Bond in Form T.R. 14** (duly stamped) with sureties;
- (d) in any doubt, payment is made **only to the person producing legal authority**.

CURRENCY FLAG

The **Rs. 5,00,000** limit reflects the enhancement from Rs. 10,000 vide **Ministry of Personnel, PG & Pensions O.M. No. 1/26/2018-P&PW(E) dated 05.11.2018** — verified as the current enhanced limit.

Caution: older codes and some manuals still print **Rs. 5,000 / Rs. 10,000**. Use the **Rs. 5,00,000** figure with the 2018 OM citation, and confirm against the latest DoPPW position if a precise figure is required.

Rule 190 — Place of Payment: pay/allowance claims of Gazetted and non-Gazetted staff **arise at the station of the DDO** who draws them; the post office / HRO to which the servant is attached is the **place of payment**. **Rule 191 — Transfer Pay:** pay of the old post not drawn at transfer may be drawn at the **new headquarters**. **Rule 192 — Leave Salary:** drawn by the Drawing Officer and **remitted to the Bank/POSB account** through which pay was drawn before leave. **Rule 193 — Absence Out of India:** pay due in India to a servant abroad is **paid into a designated Bank/POSB account**; if he has finally quitted

India and cannot arrange receipt, payment may be made through the **High Commissioner of India**.

Rule 195 — Honorarium: honoraria to **non-Government persons** are drawn on **e-Form ACG-17** (or credited to their bank/POSB account); honoraria to **Government officials** are processed by **PA 30** under CSI and credited to bank/POSB. A copy of the sanction goes to the administrative Head of Department and simultaneously to the **GM (PA&F)/Director of Accounts (Postal)** for settlement-account adjustment. Pay/allowances of Government officers are drawn on **ACG-20**.

Chapter IX — Establishment

AT A GLANCE

The records and procedures around **staff**: sections of establishment, the **Service Book**, date-of-birth rules, leave accounts, increments, and absentee statements.

Heavily examinable: **date-of-birth alteration (Rule 207)**, **age determination (Rule 208)**, **Service Book verification/re-attestation (Rule 210)**, and the various **statement deadlines (Rule 223)**.

Rules 199–206 — Sections & Registers

Rule 199 — Sections of Establishment: establishment is divided into “**Sections**”; no fixed rule defines a section, but ordinarily there are **as many sections as there are scales of pay**, each a unit of servants on the same time-scale under one officer. *Example: in a post office, Postal Assistant and SPM on the same time-scale form one section; sub-divisional IP and OS of SPOs offices form one section.*

Rule 200 — Alteration of Establishment: any new establishment or change (temporary/permanent) needs a letter **fully explaining the proposal and conditions**.

Rule 205: a **Register of Sanctioned Establishment (Form ACG-19(a))** is maintained by Heads of Offices, who are **personally responsible** for keeping it up to date. **Rule 206:** the **Head Postmaster** also maintains the necessary records of establishment within his jurisdiction.

Rule 207 — Date of Birth

At appointment, the official **declares the date of birth by the Christian era**, with documentary evidence (matriculation/municipal birth certificate). The actual/assumed date is recorded in the **Service Book / History of Services**. **No alteration** is made except with the sanction of the Ministry/Department, provided:

- (a) the request is made within **5 years** of entry into Government service;
- (b) a **genuine bona-fide mistake** is clearly established; and
- (c) the altered date would **not** make him ineligible for any UPSC exam in which he had appeared.

Heads of Departments may exercise this power for **non-Gazetted** servants under them.

Rule 208 — Determination of Age

If the official can state...	Date of birth taken as...
Only the year (or year and month)	1st July (or the 16th of the month) respectively.
Only his approximate age	The corresponding date after deducting his age (in years) from the date of appointment .

MEMORY HOOK

Age gaps default to the **middle**: year only → **1 July** (mid-year); month known → **16th** (mid-month).

Rules 209–214 — Service Book & Leave Account

Rule 209 — Service Book: detailed rules are in SR 197–203 and Rule 288 of GFR 2017. The **cost is borne by the Government** (debited to head 3201-102-01-04). **Aadhaar/UID inclusion is mandatory**; the **e-Service Book** under the e-Office Mission Mode Project is to be implemented and is **legal tender for all purposes**.

Rule 210 — Verification (key dates):

- (a) early each year, the Head of Office verifies the Service Books and records a **certificate**;
- (b) he inspects and initials at least **10%** of the total Service Books;
- (c) **Pension sanction:** all service is verified after **18 years** of appointment **or 5 years before retirement, whichever is earlier**;
- (d) **Re-attestation:** the descriptive particulars on the first page are **re-attested every 5 years** by the supervising officer (Superintendent for ASP/IP; IP/IRM or SPOS/SRM for LSG officials);
- (e) **Photograph:** the cost of the first-page photograph is **borne by the Government**.

Rule 211 — Custody: Service Books/Rolls are kept by the **Head of Office**. Books of non-Gazetted postal servants on **deputation to APS** (officiating as Gazetted) are kept centrally at the **Director of Postal Accounts, Nagpur (APS section)**.

Rule 212 — Maintenance: Service Books kept **alphabetically** and **always unfolded**; on death/resignation/discharge, the date is entered; the Service Book/roll is **preserved 5 years** in the Head of Office's custody, then destroyed.

Rule 214 — Leave Account: kept by the Head of Office and attested by him; for a non-Gazetted servant who is himself the **Head of an Office**, the **immediate superior** keeps and attests it (e.g. an **HSG-I Postmaster's** Service Book is kept by the **Divisional Head**).

EXAM POINT

'18-or-5' rule: verify all service after **18 years** of service **or 5 years before retirement**, whichever is **earlier** — to avoid pension delays.

'5-year' trio: DOB-alteration window (5 yrs), Service-Book re-attestation (every 5 yrs), and Service-Book preservation after closure (5 yrs). Don't confuse the three.

Rules 215–238 — Bills, Increments & Statements

Rule	Provision
215	Pay/allowance/leave-salary bills prepared separately for permanent, temporary, and experimental establishments in Form ACG-20 , split into (i) staff pay & allowances and (ii) other payments (rent, FSC, etc.).
220	For broken periods in different sections, pay is drawn under each section for the days actually worked; all pay/TA/LTC now go directly to POSB/Bank accounts .
221	Acquittance rolls for officials without Service Books/Rolls are prepared separately — never combined with others.
223	Absentee statement supports the monthly bill when a superior-service person was absent (special duty, suspension, leave other than CL) or a post was vacant.
224	On permanent transfer , the old Head of Office prepares a leave account and sends it to the new Head, with a copy to the Circle Accounts Officer .
225	Periodical (bi-annual) increments fall on 1st January and 1st July ; processed through SAP T-code PA 30 ; Form TR-24 .

Rule	Provision
227–228	TA bills in Form GAR-14 ; presented at convenient intervals or on return, and before 31 March if the tour ended before then.
234	OTA bill (Form ACG-37), prepared in duplicate after a four-weekly cycle. Sanction: up to 70 hrs by Divisional Head; beyond 70 hrs needs Head of Circle permission.
235	OSA for Sorters/Mail Guards/Van-Peons in Form ACG-38 , drawn at the beginning of the following month by the Head Record Clerk, countersigned by the Divisional Superintendent.
238	Undrawn pay refunded by short drawal in the next bill and noted in the Undisbursed Pay & Allowance Register (ACG-54) ; distribution roll ACG-24 .

Rule 223 — Absentee-statement deadlines

- (a) Joining-time periods shown separately; if it exceeds **7 days** (excluding Sunday), add a remark.
- (b) Subordinate offices send the absentee statement (up to the 20th) on the **22nd** to the HPM.
- (c) A **supplementary** statement (21st to month-end) is sent on the **1st** of the next month.
- (d) **HRO**: Record/Sub-Record Clerks send theirs on the **22nd** (up to 20th) and supplementary on the **1st** to the Head Record Clerk.

MEMORY HOOK

22nd then 1st: main absentee statement on the **22nd** (covers up to the 20th); the **supplementary** follows on the **1st** of next month.

Chapter X — Contingent Charges

AT A GLANCE

What **contingent charges** are, their **four classes**, the **casual-labour** rules, permanent advances, and the bill/register/countersignature machinery.

Reliable questions: the **classification of contingencies** (Rule 243) and the **countersignature deadlines** (Rule 278).

Rules 241–243 — Definitions & Classification

DEFINITION

Contingent Charges = incidental and other expenses for managing an office or for the technical working of a department.

Excludes: works, repairs, stock, tools/plant — and also pay & allowances, leave salary, pensions, grants-in-aid, and contributions.

Rule 243 — Classification of Charges (learn all four):

Class	Meaning
Contract Contingencies	A lump sum placed annually at a Disbursing Officer's disposal.
Special Contingencies	Charges (recurring/non-recurring) needing previous sanction of a superior authority.
Countersigned Contingencies	Charges needing the countersignature of a controlling authority before admission.
Fully Vouched Contingencies	Charges incurred by the Head of Office on his own authority , without special sanction or countersignature.

EXAM POINT

Contingent bills of the DG's and HOC's offices require no countersignature. A neat exception worth remembering.

Rules 245–252 — Casual Labour & Permanent Advances

Rule 245: casual (daily-wage) workers are **not engaged for work of a regular nature** and **cannot be deployed for MTS work**. **Rule 246:** where casual and regular work is the same, casual workers may be paid **1/30th of the minimum of the relevant pay scale plus DA** for an **8-hour day**. **Rule 250:** every officer exercises the **same vigilance over petty**

expenses as a prudent person spending his own money. Rule 251: the countersigning officer ensures items are of obvious necessity at fair rates, previous sanction is attached, vouchers/calculations are correct, and grants are not exceeded. **Rule 252:** a **permanent advance (cash imprest)** of a moderate amount is sanctioned by the **Head of Circle** (e.g. for IP, ASP, HSG-I Postmaster); the limit is fixed by the competent authority on need.

Rules 255–278 — Bills, Registers & Countersignature

Rule	Provision
255	No detailed bills to a higher authority for charges not classed as countersigned contingencies.
258	The sanctioning authority keeps a record of all sanctions in a register.
259	Sub-vouchers not destroyed until after 3 years ; retained ones cancelled by rubber stamp/red-ink; sub-vouchers > Rs. 500 (updated from Rs. 50) up to the audit-submission limit are cancelled by the Controlling Officer after check.
265	Contingent registers: DG/Circle Offices → TR-29 ; HPO → ACG-18 ; HRO → ACG-18-A .
267	A contingent bill to suppliers may be endorsed ; endorsements current 3 months ; last-quarter bills lapse unless cashed by end of March .
275–276	Contingencies countersigned after payment drawn in Abstract Contingent Bills (ACG-19) ; the Detailed Bill (ACG-19(1)) is from the monthly contingent-register totals.

Rule 278 — Countersignature deadlines

Office	Dispatch to CPAO by
HPOs	On or before the 5th of the second month following the charge month.
GPO / HPO / MDGs	The 15th of the second month.
Other offices	The last day of the month following.

Chapter XI — Miscellaneous Charges

AT A GLANCE

A short chapter on **refunds of revenue** — their classification and the procedure for drawing them.

Rule 281 — Refunds of Revenue are classified as: refunds to which claimants are **legally entitled**; **ex-gratia** refunds; and refunds are **not treated as expenditure** for the purpose of grants.

Rules 282–284 — Refund Procedure: refunds are drawn **only on the demand and receipt** of the entitled person; every refund is **noted against the original credit**; a **note of repayment** is recorded on the receipt counterfoil; payment is made by **crediting the claimant's Bank account directly**.

EXAM POINT

Two heads of refund: **legal entitlement** vs **ex-gratia**. And refunds are **not** “expenditure” for grant purposes — a subtle accounting point.

Chapter XII — Loans & Advances

AT A GLANCE

Departmental and personal advances — supplier advances, House Building Advance, Personal Computer Advance, tour advances, interest, and recovery.

Most change-prone chapter for **rates**: interest on advances is **notified each financial year**, so those figures carry Currency Flags.

Rules 293–298 — Departmental & Supplier Advances

Rules 293–296: a **Transfer-TA advance** sanction must specify the new office. **Departmental-purpose** advances are sanctioned by the competent authority and disbursed to Bank/POSB. **Construction/repairs** → **MH 8553 (P&T Advance)**; advances to a **Government servant** → **MH 7610**. **Supplier advances** are capped:

Supplier type	Maximum advance
Private firms	30% of contract value
State / Central / PSU	40% of contract value
Maintenance contracts	6 months' payable amount

Rule 298 — Repairs to Rented Buildings: the DG and Heads of Circles may sanction expenditure on repairs (including electric installations) to rented buildings if the landlord defaults; non-recoverable expenditure is **debited to “Office Expenses.”**

Rules 300–304 — Personal Advances & Interest

Rule 300 — Advances on Personal Account: Personal Computer Advance and House Building Advance (HBA). Government decisions on interest: **penal interest = 2.5% + the normal rate; non-interest-bearing advances**, if overdue, attract **2% over the GPF interest rate**; interest recovered is credited to **MH 0068 (Misc. General Services)**.

Personal Computer Advance (GAR-27) — conditions:

Parameter	Value
Limit	Rs. 50,000 or actual price, whichever is lower
Eligibility	All Government servants
Frequency	Five times in entire service
Gap	Minimum 3 years between advances
Sanction	Head of Department / Administration
Repayment	Not more than 150 monthly instalments
Total deduction limit	All recoveries $\leq$ 50% of total emoluments

CURRENCY FLAG

Interest on Personal Computer / House Building Advance — rate is notified annually:

The PC-advance rate of **9.1% p.a.** is the rate for **FY 2023-24** only — the source notes label it an *example*.

Confirmed standing position: under the **7th CPC** (MoF O.M. dated 07.10.2016), most interest-free advances were abolished; only **HBA and PC Advance** survive as **interest-bearing** advances. PC-advance eligibility (**Rs. 50,000 / actual, whichever lower**) is current.

Action: for the relevant year, take the **interest rate from the latest MoF / DoE office memorandum** — never quote the 9.1% figure as the current rate. //Sources: MoF O.M. No. 12(1)/E.II(A)/2016 dated 07.10.2016; annual rate-of-interest OMs.//

Rule 302 — Interest Calculation: simple interest on balances outstanding on the **last day** of each month; no interest beyond the date of death for recoveries from Death Gratuity.

Rules 303–304 — Drawal: advances drawn on an ordinary pay/TA bill or **Simple Receipt** (Form ACG-17); payment by **off-cycle PA 30**.

Rules 311–319 — Tour Advance & Recovery

- **Rule 311 — Advance on Tour:** sufficient to cover a **month's** personal travelling expenses; **adjusted within 15 days** of completing the tour/resuming duty. A **second advance** is not granted until the first is accounted for, except where the second journey is **within a week** — and never **more than two advances outstanding** at a time. **LTC advance:** claim within **1 month** (with advance) or **3 months** (without).
- **Rule 312 — Cash Overseers:** Superintendents / First-Class Postmasters may sanction motor-bus-fare advances to Cash Overseers.
- **Rule 314 — Suspension:** no advance to an employee under suspension.
- **Rule 315 — PC Advance Recovery:** in a maximum of **150 equal monthly instalments**.
- **Rule 316 — Purchase Timeline:** the PC purchase must be completed within **1 month** of drawing the advance (extendable to **2 months** by the HOD).
- **Rule 319 — Acknowledgement of Balance:** for short-term advances, the DDO records a **balance certificate as of 31 March** on the April abstract; for long-term, the CPAO verifies the balance via HR-module schedules.

Chapter XIII — Sanctions

AT A GLANCE

How sanctions **take effect** and **lapse** — a short, high-yield chapter built on three time-rules.

Rule	Provision
323 — Effect	A sanction has effect from the date of issue of the order.
324 — Lapse	General: a sanction not acted on for a year lapses . GPF advance: lapses after 3 months if not acted upon. Budget: sanctions under budget provision lapse on expiry of the financial year .

332 — Write-Off

All sanctions for writing off irrecoverable stores/public money are **communicated to the Accounts Officer**.

MEMORY HOOK

Lapse clocks: **general sanction = 1 year, GPF advance = 3 months, budget = end of financial year.**

Chapter XIV — Deposits

AT A GLANCE

Security deposits, the permissible **forms of security**, and **refund** rules — including the treatment of **earnest money**.

Rules 339–340 — Security Deposits: covered by a **bond (Form GFR-14)**; a **Fidelity Bond (Form GFR-17)** where applicable.

Rule 353 — Forms of Security: cash; promissory notes / stock certificates; POSB passbooks / cash certificates; **10% deduction from monthly payments**; personal securities (**two persons**); fidelity bond; bank guarantee / drafts. **Note:** security deposits (including earnest money) vary from **1% to 10%** of the estimated cost of work.

Rules 358–364 — Refunds: refunded on production of due authority. **Earnest money** is **refunded to unsuccessful contractors immediately**, and **forfeited** if the selected contractor fails to take up the work.

EXAM POINT

Earnest money: refunded immediately to the **unsuccessful** bidders; **forfeited** if the *selected* contractor backs out. Security-deposit band = **1%–10%** of estimated cost.

Chapter XV — Buildings & RMS Vans

AT A GLANCE

A brief register-keeping chapter for **lands, buildings, and RMS vans**.

Rule 366 — Register: a **Register of Lands and Buildings** is maintained by Heads of Circles in **Form ACG-69**; additions/alterations are communicated at the **end of December**. **Rule 409 — RMS Vans:** the register is also in **Form ACG-69**, kept in the **Circle Office** and **DG Office**.

MEMORY HOOK

One form does double duty: **ACG-69** is the register for **both** Lands & Buildings **and** RMS Vans.

Chapter XVI — General Provident Fund

AT A GLANCE

The **GPF mechanics within FHB Vol-I**: admission, recovery of subscription, and final withdrawal.

Note the **last-3-months discontinuation** rule — a common one-liner.

Rule 414 — Admission Procedure: the Head Office sends a statement to Circle Accounts on the **15th** of the month (**three months before** subscription starts); the Accounts Officer allots the **Account Number**; the Head of Office certifies eligibility; the number is entered in the **Service Book**.

Rule 415 — Recovery of Subscription: recovered from pay bills (or paid in cash if desired); **compulsorily discontinued during the last 3 months of service**. **Rule 418 — Withdrawals:** final-withdrawal amounts are **credited to the subscriber's identified Bank account**.

EXAM POINT

GPF subscription is **compulsorily stopped in the last 3 months** before retirement — and admission statements go up **3 months before** subscription begins. The number **3 months** sits at both ends.

Appendices

Appendix 1 — Receipts Exempt from Stamp Duty

Government receipts, FSC, pension, and POSB withdrawals are exempt from stamp duty (read with Rule 48 of Chapter II).

Postal Welfare Board

Discretionary grants: up to 10% of the allocated grant. **Eligibility:** staff drawing **Basic Pay up to Rs. 65,220/- per month** (or as revised).

CURRENCY FLAG

The Postal Welfare Board **Basic-Pay eligibility ceiling (Rs. 65,220/- p.m.)** is periodically revised. The source notes themselves add “or as revised.”

Action: confirm the **current ceiling** from the latest **Postal Welfare Board / Directorate** instruction before quoting a figure.



Quick Revision — Numbers & Forms at a Glance

Use these consolidated tables for last-mile revision. Each figure is examinable; the **Currency-Flagged** ones must be re-checked against the latest order before use.

Key Time-Limits

Item	Limit	Rule
General arrear claim → needs authority	2 years	24/27
Small claim ≤ Rs. 500 without pre-check	3 years	24
Travelling Allowance forfeited if not claimed	60 days	25
Railway over/under-charge claims	6 months	26
Pay-order validity (non-pay bills)	7 days	40
Return audit memo / objection statement	Fortnight	82
Return Audit Inspection Report	1 month	95
Drawing-account validity	3 months	126
Cheque validity (after month of issue)	3 months	156
Tour advance adjustment	15 days	311
LTC claim (advance / no advance)	1 / 3 months	27, 311
DOB alteration request window	5 years	207
Service-Book verification for pension	18 yrs / 5 yrs before	210
Service-Book re-attestation	Every 5 years	210
GPF discontinued before retirement	3 months	415
General sanction lapse	1 year	324
GPF-advance sanction lapse	3 months	324

Key Money-Limits

Item	Amount	Note
Cheque acceptance from public (minimum)	Rs. 20	Rule 107
Cheque (minimum drawn)	Rs. 100	Rule 130/153

Item	Amount	Note
Imprest certificate (max at one time)	Rs. 250	Rule 139–142
Mandatory e-payment threshold	Rs. 5,000	MoF OM 05.12.2016
Stamp duty on receipts (above)	Rs. 5,000	Rule 48 (Stamp Act)
Petty loss — no report to Audit	≤ Rs. 10,000	Rule 52
‘Material’ / ‘serious’ loss threshold	Rs. 50,000	Rule 52/57; GFR 34
IP/ASP loss-investigation limit	Up to Rs. 2 Lakh	23.09.2021
High-value cheque via PAO→RBI	Rs. 1 Crore+	Rule 153
Anticipatory payment of deceased dues	Rs. 5,00,000	Rule 189; OM 05.11.2018
PC Advance (or actual, whichever lower)	Rs. 50,000	Rule 300
Sub-voucher cancellation by Controlling Officer (above)	Rs. 500	Rule 259
TDS u/s 194C single / aggregate	Rs. 30,000 / Rs. 1,00,000	Rule 30 (updated)
Pension remittable by Service MO (up to)	Rs. 9,000 p.m.	Rule 34
Welfare Board eligibility (Basic Pay up to)	Rs. 65,220 p.m.	or as revised

Frequently-Tested Forms

Form	Used for
ACG-67	System-generated money receipt (departmental receipts)
ACG-8	Treasury Pass Book
ACG-15	Remittance advice & acknowledgement
ACG-28	Register of cheques received & cleared
ACG-60	Retrenchment Register
ACG-75	Imprest certificate

Form	Used for
ACG-84	Cash-balance verification report (Inspecting Officers)
ACG-19 / 19(1)	Abstract Contingent Bill / Detailed Bill
ACG-19(a)	Register of Sanctioned Establishment
ACG-18 / 18-A	Contingent Register — HPO / HRO
ACG-20	Establishment pay bill
ACG-24 / ACG-54	Distribution roll / Undisbursed Pay & Allowance Register
ACG-37 / ACG-38	Overtime Allowance / Outstation Allowance bill
ACG-69	Register of Lands & Buildings / RMS Vans
ACG-91	Register of destruction of records
ACG-17 / GAR-27	Simple Receipt (advances/honoraria) / PC-advance form
GAR-14	Travelling Allowance bill
TR-14	Indemnity Bond (deceased dues > Rs. 5,00,000)
TR-24 / TR-29	Increment form / Contingent Register (DG & Circle)
CPWA-52	Register of cheque books
GFR-14 / GFR-17	Security Bond / Fidelity Bond

FINAL WORD

This booklet is a **teaching companion**, not the statute. Where a figure is **Currency-Flagged**, the underlying rule is settled but the *number* changes — always read the latest order before entering into the exam hall and into the office.

Learn the patterns, not just the digits: the 3-month family (drawing account, cheque validity, GPF), the no-erasure rule, the HPO daily-discipline rule, and the 100/10 checking rule will earn marks across many questions.